Case study · Domenico Perroni

HR & FINANCE

What will next year's people cost be?

Client: An employer in Milan, Kraków, Munich and Barcelona, four months into FY2027.

> **What does one person really cost in each country, why did last year overrun, what does next year cost under each scenario, and where is it heading now that four months have closed?**

€9.9M
over the FY2026 budget (5.6%), explained by volume

€74,887
a fully loaded FTE in Munich, against €41,727 in Kraków

€192.9M
FY2027 in the base case (+4.0%)

64 a month
hires from January to land on the June 2027 plan

WHAT I DID

- Loaded every employee with each employer contribution, ceiling by ceiling: INPS and TFR in Italy; ZUS, PPK and the funds in Poland; German social insurance; Spanish Seguridad Social and its solidarity contribution.
- Split the FY2026 variance into volume, mix and rate, adding up exactly to the overrun.
- Forecast FY2027 month by month under five scenarios, renewals and the zloty included; then re-forecast it from the closed months and turned a June 2027 headcount target into hires a month.
- Built a simulator for the budget meeting, with the cost of one employee in four countries.

WHAT IT FOUND

- After October the year is €0.18M over budget for the wrong reasons: fewer people save €0.60M, a higher cost per FTE, mostly in Kraków, adds €0.77M.
- A hiring freeze from October cuts FY2027 to €182.6M but ends the year with 411 fewer FTE: a capacity decision, not a finance one.
- Collective renewals and a stronger zloty would add €4.45M, €3.12M of it from the exchange rate alone.

WITH REAL DATA

- Actual payroll by month, with the company's own on-cost rules and benefits.
- Hiring and leaver plans by team from the business, not last year's rates.
- The pay-gap remediation from the client's own Article 10 screen.

How it is checked. 1,649 figures reconciled between the Excel formulas and pandas; the simulator checked against the model on 43,152 values; every rate and ceiling in a register with its source; the closed months of FY2027 are synthetic and say so.

Workforce planning · Budget variance · Employer costs IT/PL/DE/ES · Excel modelling · Python

Read the CFO memo https://d0m3n1c0x.github.io/workforce-cost-model/

Try the simulator https://d0m3n1c0x.github.io/workforce-cost-model/simulator/

The repository https://github.com/D0M3N1C0X/workforce-cost-model